



The Talent Partner Unlocking Tomorrow's Workforces

Retail Banking, KYC & Financial Crime Foundations

Retail Banking Fundamentals

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CFCS • CAMS • CALM

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*20+Years
Banking & Financial Services Experience*

*Former ACAMS External Faculty
Official CAMS Training Delivery*

Mahesh Gali is a certified AML and Financial Crime Professional with 20+ years of banking and financial services experience. He has trained 1000+ CAMS aspirants globally, achieving a success rate exceeding 90% and has delivered AML Workshops for banking, fintech and compliance professionals.

CFCS

Certified Financial Crime Specialist

A globally recognized credential (ACFCS) covering AML, fraud, sanctions, and cyber-financial threats.

CAMS

Certified Anti-Money Laundering Specialist

ACAMS' leading global AML certification, held by compliance professionals worldwide.

CALM

Certified Anti-Money Laundering Manager

A specialist AML management credential (NISM) focused on AML program leadership and oversight.



Financial Crime Compliance

Building knowledge, analytical skills and practical judgement to understand, investigate and respond to financial crime risk.



OUR LEARNING JOURNEY

01



RETAIL BANKING FOUNDATIONS

Understand banks, products, customers, accounts, transactions, channels and banking data.

02



KYC & FINANCIAL CRIME FOUNDATIONS

Explore KYC fundamentals, customer identification, financial crime risks and common red flags.

03



TRANSACTION MONITORING

Understand transaction patterns, typologies, alerts, customer behaviour and initial triage.

04



INVESTIGATION & KYC DATA ANALYSIS

Gather evidence, analyse customer and transaction data, identify suspicious activity and support conclusions.

05



SAR DECISIONING & NARRATIVE WRITING

Assess reportability, distinguish SAR from non-SAR activity and develop clear investigative narratives.

06



AML REGULATIONS & COMPLIANCE

Understand the regulatory framework, bank policies, compliance expectations, reporting and governance.

07



PRACTICAL APPLICATION & CAPSTONE

Apply the learning through realistic scenarios, investigation exercises, case studies and final assessment.



SECTION A – UNDERSTANDING RETAIL BANKING

Building the foundation to understand how banks operate, serve customers and generate financial data.



CUSTOMERS
& ACCOUNTS



PRODUCTS
& SERVICES



TRANSACTIONS
& CHANNELS



BANKING DATA
& INSIGHTS



What is a Retail Bank?

Retail banking provides everyday financial products and services to individuals and households, and at many institutions, to small businesses.



Who It Serves

Individuals, households, and at many institutions, small businesses.



Deposits

Accepting and holding customer funds.

- Checking accounts
- Savings accounts
- Certificates of Deposit (CDs)
- Money Market accounts
- Individual Retirement Accounts (IRAs)



Payments

Facilitating money movement for everyday needs.

- Debit and credit card payments
- ACH transfers
- Wire transfers
- Checks
- P2P payments (e.g., Zelle®)
- Bill payments



Lending

Providing credit to help customers achieve their goals.

- Credit cards
- Personal loans
- Auto loans
- Mortgages / home equity loans
- Student loans



Everyday Banking Services

Supporting customers with convenient access and additional services.

- Branch and ATM services
- Online and mobile banking
- Cashier's checks / money orders
- Direct deposit
- Statement and account services
- Safe deposit boxes



BANK

Stronger
Communities
Brighter
Futures

People
in focus.
Progress
together.

Your
Goals
Our Support

Retail Banking Ecosystem

A retail bank operates within a broader ecosystem of customers, partners, networks, and regulators. Each participant plays a distinct role and has specific obligations, creating relationships that are important for FCC analysts to understand.



A Connected Ecosystem

A retail bank does not operate in isolation. It sits at the center of a network of participants — each with distinct roles, obligations and relationships that FCC analysts must understand.

Key Participants Include:

- Customers & merchants
- Correspondent & partner banks
- Payment networks
- Regulators & law enforcement
- Service providers
- Other banks and financial institutions

Types of US Banking Institutions

The US banking system includes different types of institutions, each with a specific purpose, ownership structure and regulatory oversight.



Commercial Banks

Offer a wide range of financial products and services to individuals and businesses.



Savings Banks (Savings & Loans)

Focus on personal savings and home (residential) mortgages.



Credit Unions

Member-owned, not-for-profit financial cooperatives.



Custodial Banks

Hold and safeguard assets for other financial institutions, corporations or investors.



Industrial Banks

Non-depository institutions that provide financial services to commercial companies.



Branches and Subsidiaries of Foreign Banks

US operations of foreign banks, either as branches or separately incorporated subsidiaries.



Key Takeaway

Different types of banks serve different customer needs and operate under specific regulatory frameworks in the United States.

Bank vs Credit Union vs Fintech

All three provide financial products and services, but they differ in ownership, purpose and how they operate.



Bank



For-profit financial institutions that offer a wide range of products and services to individuals and businesses.



Ownership

Owned by shareholders



Purpose

Generate profits



Services

Deposits, loans, payments, wealth management, etc.



Credit Union



Not-for-profit financial cooperatives owned by their members, offering many of the same services as banks.



Ownership

Owned by members



Purpose

Serve members, not profits



Services

Deposits, loans, payments, and other basic banking services



Fintech



Technology-driven companies that deliver financial services, often through digital platforms.



Ownership

Privately owned or publicly traded



Purpose

Innovate and deliver convenient, digital financial solutions



Services

Payments, transfers, lending, investing and other digital services

U.S. Banking Regulatory Landscape

Multiple federal and state agencies work together to regulate U.S. financial institutions and combat financial crime.



FinCEN

Administers the Bank Secrecy Act (BSA); sets AML/CFT requirements; collects SARs/CTRs; serves as the U.S. Financial Intelligence Unit.



OCC / Federal Reserve / FDIC

Supervise and examine banks for BSA/AML compliance.



FFIEC

Provides a common examination framework and BSA/AML guidance used by U.S. banking regulators.



OFAC

Administers and enforces U.S. economic and trade sanctions — sanctioned persons, entities and jurisdictions.



State Regulators

License, regulate and supervise state-chartered financial institutions.

Who Regulates Which Institution?

Different types of financial institutions are regulated by specific federal and state agencies.

Institution Type	Primary Regulatory Authorities
 National Banks	OCC, Federal Reserve, FDIC
 State-Chartered Banks	Federal Reserve or FDIC (depending on membership), State Regulators
 Credit Unions	NCUA (National Credit Union Administration)
 Savings Banks	FDIC, State Regulators
 Industrial Banks	FDIC, State Regulators
 Fintech Companies	Varies (e.g., Federal and/or State Regulators, depending on the business model)
 Branches and Subsidiaries of Foreign Banks	Federal Reserve, OCC, State Regulators (depending on structure)





How does a Bank Function?

A bank performs multiple functions to serve customers, support the economy and operate safely and efficiently.



Accept Deposits

- Take in savings and checking deposits
- Safeguard customer funds
- Provide a safe and convenient place to keep money



Move Funds

- Enable payments, transfers and wire transactions
- Facilitate services like ACH, cards and online banking
- Help customers send and receive money securely



Lend

- Provide loans and lines of credit (e.g., mortgages, auto loans, business loans)
- Support individuals and businesses
- Generate income through interest



Manage Risk

- Assess and manage credit, market and operational risk
- Comply with regulatory requirements (AML, BSA, consumer protection, etc.)
- Help protect the bank and its customers

Key Functions Within a Bank

A bank has different functions working together to serve customers, manage risk and meet regulatory requirements.



Front Office / Business

Serves customers and generates revenue through deposits, loans and other products.



Operations

Processes transactions and provides back-office support to keep the bank running.



Fraud

Detects and prevents fraud and financial losses.



Compliance / FCC

Ensures adherence to laws and regulations (e.g., AML, KYC, sanctions) and regulatory reporting.



Risk & Legal

Manages enterprise risk and provides legal counsel.



Internal Audit

Provides independent oversight and testing of controls and processes.



Where Financial Crime Compliance Fits

Financial crime compliance is embedded across the bank to help prevent, detect and respond to financial crime risks.



KYC / Customer Due Diligence

Know your customer and verify their identity.



Sanctions

Screen customers and transactions against sanctions lists.



Transaction Monitoring

Detect and investigate unusual or suspicious activity.



Investigations

Review alerts, investigate and escalate potential financial crime.



SAR Reporting

File Suspicious Activity Reports (SARs) with regulators.



FC Risk Management

Identify, assess and manage financial crime risks across the bank.

PREVENT
DETECT
INVESTIGATE
REPORT
PROTECT

AML

KYC

SANCTIONS

MONITORING

INVESTIGATIONS

COMPLIANCE

Policies
Procedures
Risk Management
Regulatory Compliance

SECTION B

RETAIL BANKING PRODUCTS & CUSTOMER ACCOUNTS



Retail Banking Products & Services

Everyday banking solutions for individuals and families



Deposit Accounts

Savings accounts, checking accounts, money market accounts, certificates of deposit (CDs)



Cards

Debit cards, credit cards, prepaid cards



Loans

Home loans, personal loans, car loans, education loans



Insurance Products

Life, health, and general insurance (via bank partners)



Investment & Wealth

Mutual funds, recurring deposits, wealth advisory



Digital & Other Services

Online & mobile banking, fund transfers, bill payments, services and support

Your
Bank
For Life



Save



Borrow



Invest



Grow

ACCOUNTS

CARDS

LOANS

INVESTMENTS

INSURANCE

Plans
for a brighter
tomorrow

Checking Accounts

The most common retail account — and the most transaction-rich.

FCC analysts must understand every channel and instrument that flows through it.



Deposits

Money added to the account through cash, checks, transfers, or electronic credits.



Withdrawals

Money taken out of the account through cash, ATM, transfers, or payments.



ACH

Electronic bank-to-bank transfers used for salaries, bill payments, and recurring transactions.



Cards

Debit card transactions used for purchases, online payments, and ATM withdrawals.



Checks

Written payment instructions directing the bank to pay funds from the account.



P2P

Person-to-person payments sent or received through services such as Zelle.



Wires

Fast electronic transfers of funds, often used for larger domestic or international payments.

Checking Accounts

Access
Transact
Manage
Your Money



Pay
Save
Transfer
Manage

Savings & Deposit Products

Help customers save and grow their money.



Savings Accounts

Interest-bearing accounts with limited transactions, used for building savings over time.



Certificates of Deposit (CDs)

Fixed-term, fixed-rate deposits with early withdrawal penalties and low transaction volume.



Why Product Type Matters to Investigators

Each product has a typical transactional behavior. Deviations from that expected pattern — such as frequent withdrawals from a CD — are red flags that warrant review.



Debit & Credit Cards

Convenient payment tools used for everyday transactions.



Debit Card

Draws directly from a linked deposit account. Used for purchases, cash withdrawals, and ATM transactions.



Credit Card

Extends a line of credit. Used for purchases, cash advances, and refunds — repaid monthly or over time.

Lending Products

Financing solutions to meet a variety of customer needs.



Mortgage Loans

Used to purchase or refinance a home. Secured by the property; long-term obligation.



Auto Loans

Used to finance the purchase of a vehicle. Typically secured by the vehicle; repaid through regular installments.



Personal Loans

Unsecured loans used for various personal needs (e.g., debt consolidation, home improvement). Fixed repayment schedule.



Credit Card Lending

Revolving credit used for purchases, cash advances, and balance transfers. Repayment amounts and timing can vary.

Today's
Goals
Tomorrow's
Possibilities

HOME

CAR

EDUCATION

PERSONAL GOALS

LOAN APPLICATION

Other Retail Banking Services

Additional services to meet everyday and specialized needs.



Cashier's Checks

Bank-guaranteed instrument; commonly used in high-value transactions.



Money Orders

Prepaid instrument; often used by individuals without a bank account.



Wire Transfers

Domestic and international fund transfers.



Safe Deposit Boxes

Secure storage for valuables; limited bank visibility into contents.



Foreign Currency Services

Currency exchange services where offered; relevant to cross-border activity.



Additional Services

Examples include travelers checks, notary services, and bill payment services.

Your
Banking
Partner

For Today
and Tomorrow

Banking
Made
Easier

Solutions
for Every
Stage of Life

Personal Banking
Home Loans
Auto Loans
Investments
and More

Save
Plan
Transact
Grow

Who Is the Customer?

A customer is any individual or entity that establishes a relationship with the bank or uses its products and services.



Individual Customer

A natural person who opens and uses accounts for personal banking needs (e.g., savings, checking, loans).



Business Customer

A legal entity such as a sole proprietorship, partnership, LLC or corporation that uses banking products and services for business purposes.



Joint Holder

An individual who shares account ownership and associated rights and responsibilities.



Authorized Signer

An individual authorized to transact on the account but does not own the account.



Beneficial Owner

The individual(s) who ultimately owns or controls a legal entity customer.



Counterparty

The other party in a transaction (e.g., sender, receiver, payer, payee).



Individual vs. Business Customers

Different needs. Different risk profiles. Different documentation.



Individual Customers

Personal banking for everyday needs.



Natural person

Opens accounts for personal use (e.g., savings, checking, loans).



KYC Documentation

Typically includes ID, address and income source.



Transaction Profile

Generally lower value and lower complexity.



Business Customers

Banking solutions for growth and operations.



Legal entity or sole proprietor

Includes companies, partnerships, LLCs and sole proprietors.



KYC Documentation

Business documents (e.g., formation documents), ownership structure, beneficial owners and business purpose.



Transaction Profile

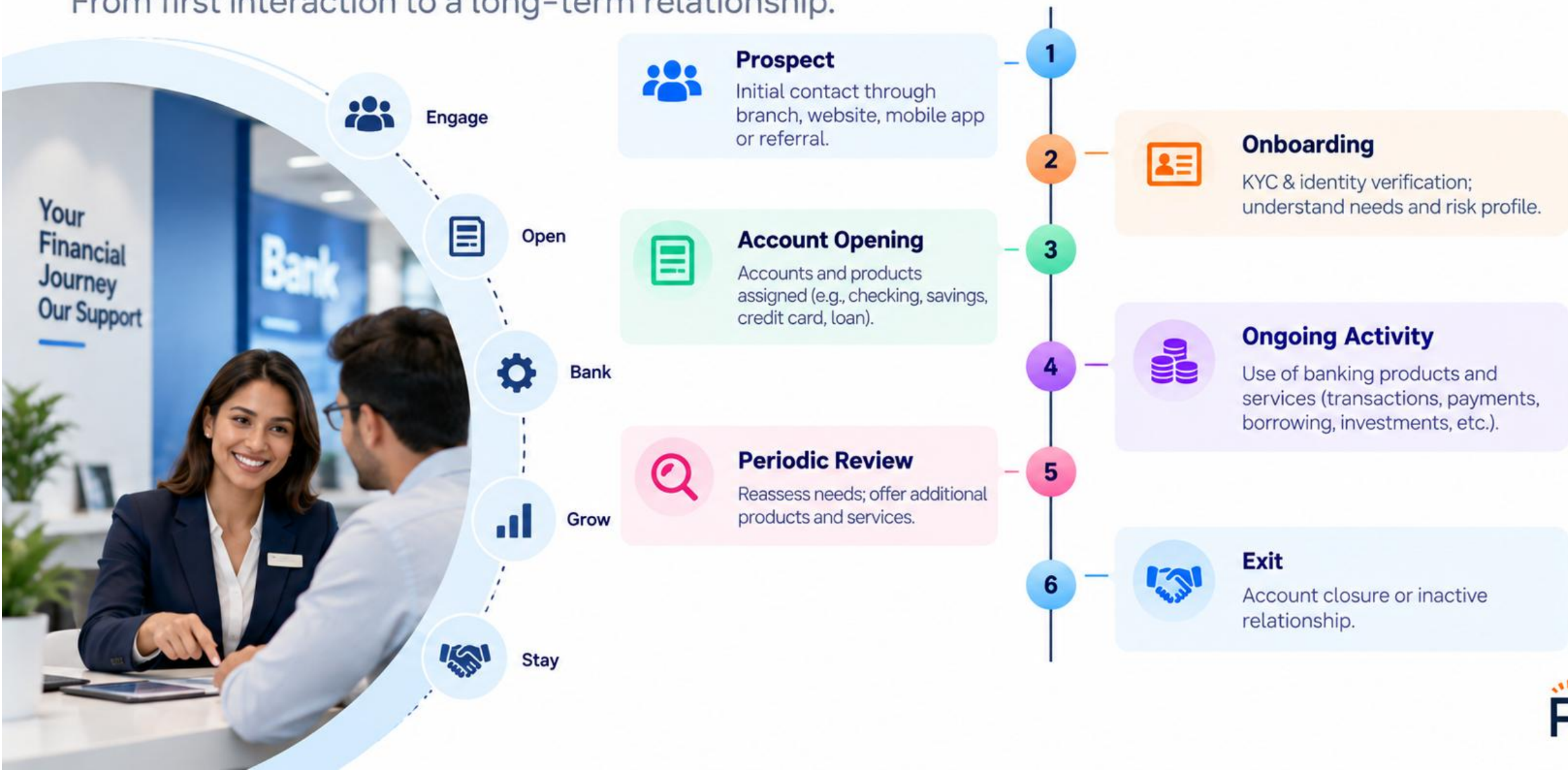
Often higher value, higher complexity and more frequent transactions.



The type of customer determines the KYC documentation required, the expected transaction profile, and the level of due diligence applied.

Customer Lifecycle in a Bank

From first interaction to a long-term relationship.



SECTION C

HOW MONEY MOVES



✓
Payment Sent
Money moves
people forward

✓
Transfer Complete
\$1,000.00
Sent Successfully
Done

Send
Receive
Transfer
Pay
Move Forward

Retail Banking – Channels

Multiple ways for customers to bank, anytime and anywhere.



Branch

In-person transactions and personalized service



ATM

Cash deposits, withdrawals and basic transactions



Online Banking

Secure, web-based account management



Mobile Banking

App-based transactions and account access on the go



Telephone / Contact Center

Assisted service and transactions

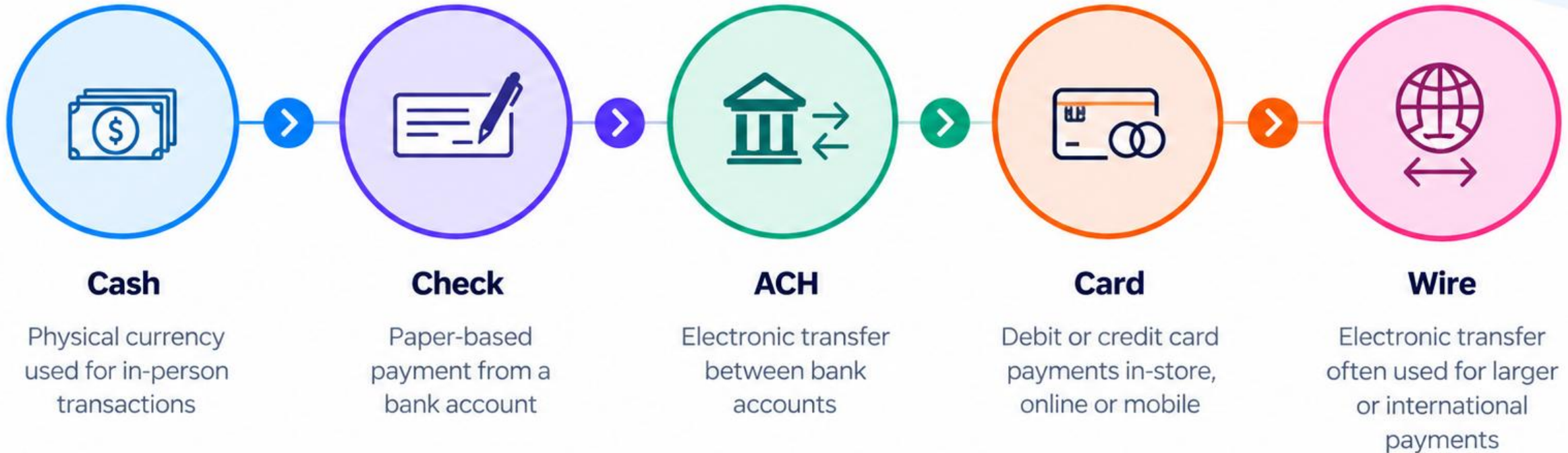


Mail

Requests, payments and document submissions

Payment Methods Overview

Different ways customers can move money.



Each payment method has unique characteristics, including processing speed, limits, fees and traceability, which are important for monitoring and investigation.

Cash Transactions

Cash is a widely used payment method for everyday transactions.



Cash Activity Types

- Cash deposits at branch or ATM
- Cash withdrawals via teller or ATM
- Teller-processed transactions
- Currency exchanges (e.g., cash to/from other forms)



Why Cash Is High-Risk

Cash has limited traceability compared with electronic payments — no counterparty data and no digital trail. This makes it a preferred vehicle for money laundering and other illicit activities.



Large cash transactions or unusual cash activity may require additional monitoring and regulatory reporting (e.g., CTR in the US).

Checks

A common, traditional payment method still widely used in the U.S.



Check Deposits

Funds credited to the account pending clearing



Check Payments

Drawn against account balance to make payments



Clearing

Inter-bank settlement process (e.g., Federal Reserve check clearing)



Returned Items

Bounced or rejected checks due to insufficient funds or other issues



Cashier's Checks

Bank-guaranteed checks; commonly used for higher-value transactions



Checks include personal checks, business checks and cashier's checks, and remain an important payment method for many customers in the U.S.





Automated Clearing House (ACH)

Electronic transfer of funds between bank accounts in the U.S.



Direct Deposits

Government benefits, employer payroll and other payments credited to accounts



Bill Payments & Recurring Debits

Utilities, subscriptions, loan payments and other recurring transactions pulled automatically



Account-to-Account Transfers

Customer-initiated movement between linked bank accounts

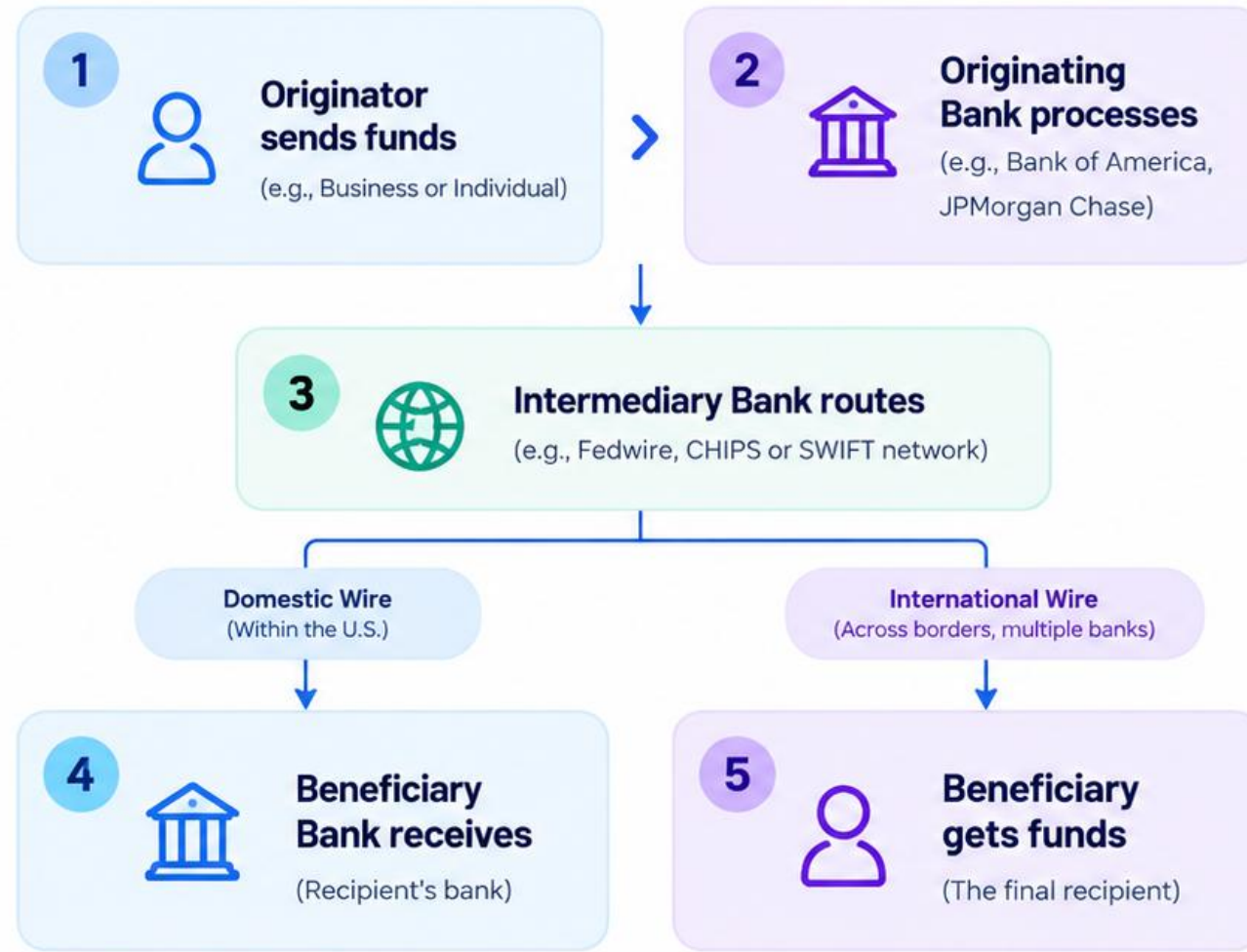


Business & Consumer Payments

Commonly used by businesses and individuals for various payments, including vendor and consumer disbursements

Wire Transfers

Fast, high-value, and often irreversible electronic transfers.



About Wire Transfers

Wire transfers are high-value, near-irrevocable electronic transfers of funds. They are commonly used for time-sensitive payments and large amounts.



Types of Wire Transfers

- **Domestic:** Same-country settlement (e.g., Fedwire, CHIPS)
- **International:** Cross-border via SWIFT; typically higher risk due to multiple intermediaries

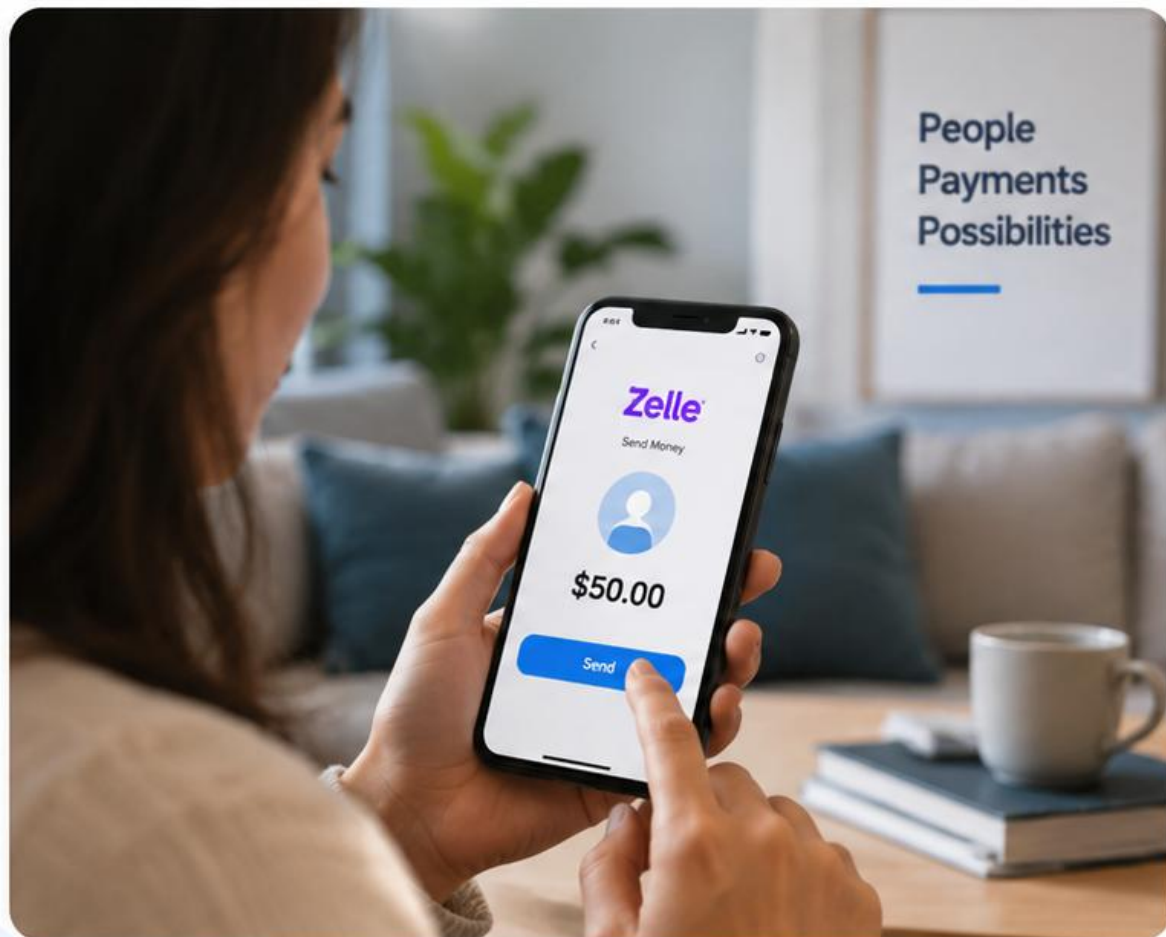


Common Use Cases

- Real estate transactions
- Business payments (e.g., supplier payments)
- International trade settlements
- High-value personal transfers

P2P / Zelle-Type Transactions

Fast, convenient person-to-person payments via mobile or online banking.



Key Characteristics

- Person-to-person transfers via mobile or online banking (e.g., Zelle)
- Near-instant fund movement
- Both incoming and outgoing payments
- Linked to bank accounts or debit cards



Common Use Cases

- Sending money to family and friends
- Splitting bills (e.g., rent, dining, travel)
- Small business or individual payments



Why It Matters to Investigators

Transaction velocity is a key red flag. Rapid, high-frequency P2P activity — especially with multiple counterparties — can indicate layering, fraud, or other illicit activity.

Debit/Credit Card Transactions

Card payments are widely used for everyday purchases, both in-person and online.



Debit Card

Draws funds directly from a linked deposit account (checking/savings).

-  Uses available account balance
-  Purchases, cash withdrawals, ATM use
-  Commonly used for everyday transactions



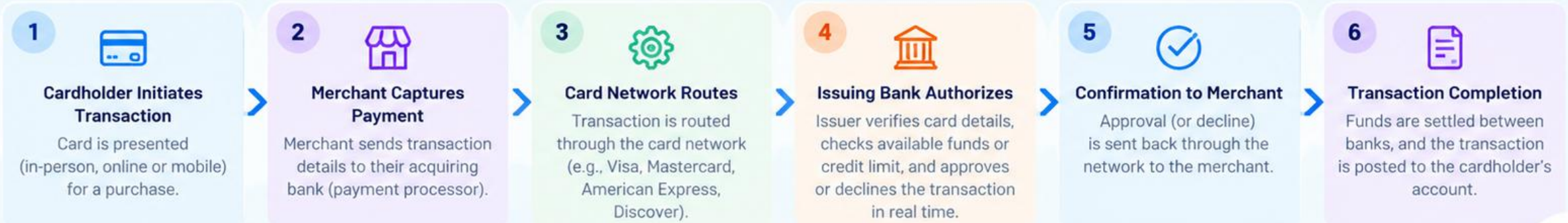
Credit Card

Provides a line of credit. Amounts are repaid monthly or over time.

-  Uses a credit limit (not direct account balance)
-  Purchases, cash advances, balance transfers, refunds
-  Repay monthly or over time, with interest as applicable

Card Transaction Flow

A card transaction involves multiple parties working together in real time.



Internal / Book Transfers

Movement of funds between accounts within the same financial institution.



Same-Customer Transfers

Movement between accounts owned by the same individual or entity.



Related-Account Transfers

Transfers between linked or associated accounts within the same bank.



Why They Matter

Internal transfers can move funds between accounts without leaving the institution; analyze them in the context of the full customer relationship.



Account A
(e.g., Checking)



**Internal Ledger /
Book Transfer**
(Within the same bank)



Account B
(e.g., Savings)



Examples: checking → savings, personal → business account, or transfers between related accounts.

FedNow & Instant Payments

Real-time payments for a faster, more connected financial system in the U.S.



About FedNow

FedNow is a real-time payment service developed by the Federal Reserve, enabling instant transfers between participating financial institutions in the U.S.



Real-time (24/7/365)



For consumers and businesses



Secure and reliable



Growing network of participating financial institutions



Key Uses



Person-to-person payments



Business and merchant payments



Government disbursements (e.g., benefits, refunds)



Account-to-account transfers



Available through bank and payment provider apps

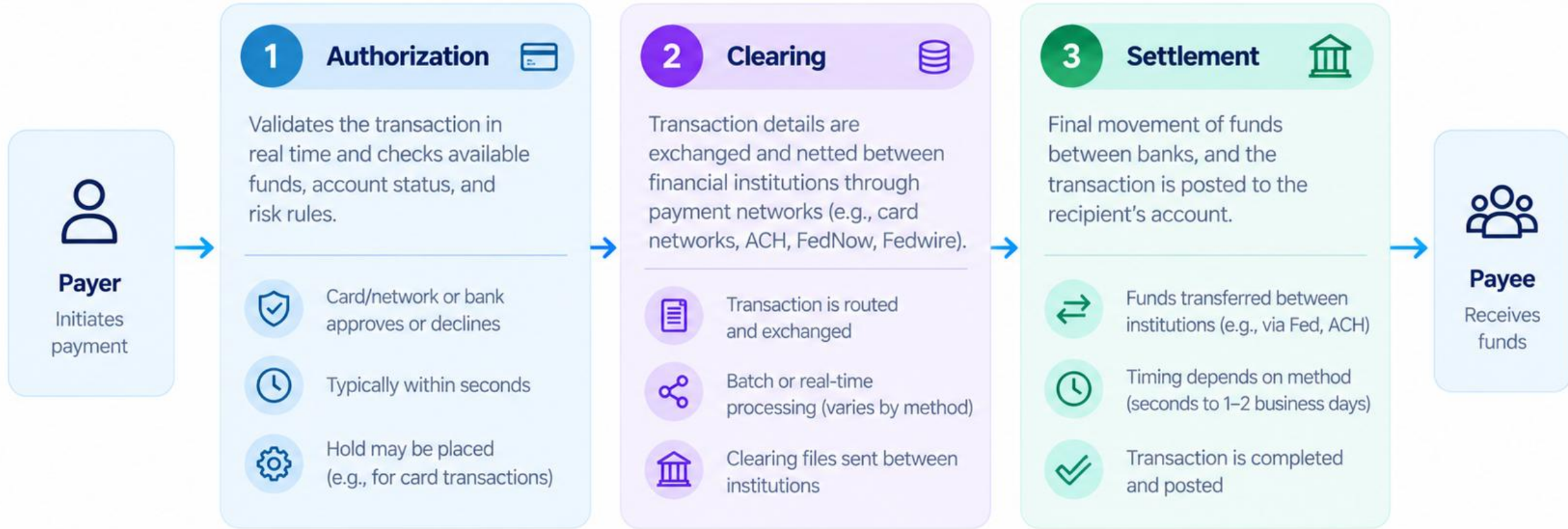
How It Works

A payment travels between participating financial institutions in real time.



Payment Lifecycle: Authorization → Clearing → Settlement

From payment initiation to final fund movement.



The timing and processes may vary by payment method (e.g., card, ACH, wire, FedNow), but all follow these core stages.

SECTION D

UNDERSTANDING BANKING DATA

Exploring the key data elements, sources, and how banking data helps identify risk and detect financial crime.



Data Elements



Data Sources



Data Analysis



Real-World Examples

Banking Data

Search transactions...

Accounts

Transactions

Customers

Products

Channels

Date	Description	Amount	Balance
Sep 10, 2025	Salary Credit	+2,500.00	12,450.00
Sep 11, 2025	Online Transfer	-350.00	12,100.00
Sep 12, 2025	Debit Card Purchase	-120.75	11,979.25
Sep 13, 2025	ATM Withdrawal	-500.00	11,479.25
Sep 14, 2025	Bill Payment	-95.00	11,384.25

Transaction Volume



Account Activity



ACCOUNTS
TRANSACTIONS
CUSTOMERS
PRODUCTS
CHANNELS
RISK INDICATORS

DATA
INSIGHTS
SAFER
COMMUNITIES

What Data Does a Bank Hold?

Banks maintain data across the customer, account, transaction and access journey.



Customer Profile

Identity, contact details, KYC/CIP information, risk profile.



Account Data

Account number, account type, ownership, balances, status (open, closed, dormant).



Transaction Data

Date/time, amount, debit/credit, description, payment method (e.g., ACH, wire, card, check).



Counterparty Data

Sender/recipient, merchant, beneficiary, related accounts (e.g., same name, same address).



Channel & Location

Branch visits, ATM usage, online and mobile banking, merchant location, geographic data (IP address, device location).



Digital Activity

Device information, IP address, login/session information (where collected), and digital behavior patterns.

Customer Profile

Banks collect key information about their customers to open and maintain accounts, provide services, and meet regulatory requirements.



Personal Information

Full name, date of birth, contact details (address, phone, email), SSN/ITIN.



Identification Documents

Government-issued ID (e.g., driver's license, passport) and verification details.



Employment & Income

Employment status, employer name, occupation, and income range.



Account Relationship

Products and services held (e.g., checking, savings, credit card, loan) and account opening date.



Risk & Compliance Information

KYC details, risk rating, and ongoing due diligence information.

Sample Retail Customer Profile



Sarah Johnson

Retail Customer



Date of Birth

May 14, 1990



Phone

(212) 555-0187



Address

123 Maple Street
New York, NY 10001



ID Type

Driver's License
(Verified)



Employment

Marketing Manager
ABC Corp



Email

sarah.johnson@email.com



SSN (Last 4)

.... 6789



Income Range

\$75,000 – \$99,999



Products Held

Checking Account
Savings Account
Credit Card



Customer Since

Aug 12, 2021

Account Data

Banks maintain detailed account information to manage customer accounts, provide services, and meet regulatory requirements.



Account Details

Account number, account type (checking, savings, etc.), product name, and opening date.



Account Status

Current balance, available balance, status (open, closed, dormant, restricted), and currency (USD).



Product & Features

Linked services (debit card, online banking, mobile banking, overdraft, statements) and interest/fee details.



Account Activity

Transaction history, average balance, and account usage patterns.



Account Relationships

Primary and joint account holders, linked accounts, and authorized users.

Sample Account Data (Retail Customer)



Sarah Johnson

Customer ID: 12345678



Account Number
1234567890



Account Type
Checking Account



Product Name
Everyday Checking



Opening Date
Aug 12, 2021



Currency
USD



Account Holders
Sarah Johnson
(Primary)



Status
Open



Current Balance
\$5,420.75



Available Balance
\$5,420.75



Interest Rate
0.01%



Linked Services
Debit Card, Online Banking,
Mobile Banking, eStatements



Recent Activity
Last transaction: Sep 15, 2026
Direct Deposit, ACH



Transaction Data

Banks record detailed information about customer transactions across all channels.



Transaction Details

Date and time, amount, transaction type (debit/credit), and description.



Transaction Channel

Branch, ATM, online banking, mobile app, phone banking, or wire transfer.



Counterparty Information

Name of the recipient or sender, account details (where available), and merchant information.



Transaction Location

Branch location, ATM location, online (IP address), or merchant location.



Additional Information

Reference numbers, check numbers, payment method (ACH, wire, card), and transaction status.

Sample Transaction Data (Retail Customer)



Sarah Johnson

Checking Account: 1234567890

Date	Description	Channel	Debit (USD)	Credit (USD)	Balance (USD)
Sep 15, 2026	Direct Deposit (Employer)	ACH	-	2,500.00	5,420.75
Sep 14, 2026	Amazon.com	Online	45.32	-	2,920.75
Sep 13, 2026	Starbucks	Debit Card	6.75	-	2,966.07
Sep 12, 2026	ATM Withdrawal (Wells Fargo)	ATM	100.00	-	2,972.82
Sep 10, 2026	Utility Payment (Con Edison)	Online	120.00	-	3,072.82
Sep 08, 2026	Transfer to Savings	Online	250.00	-	3,192.82

Counterparty Data

Banks capture information about the people and businesses that customers send or receive money from.



Counterparty Details

Name of the sender/recipient, merchant, or beneficiary (e.g., individual or business).



Account Information

Account number (where available), account type, financial institution details (for other banks).



Merchant Information

Merchant name, category (e.g., grocery, travel), location, and merchant ID (for card transactions).



Geographic Information

Country, city, and state/region of the counterparty (where available).



Relationship Information

Whether the counterparty is an existing customer, new counterparty, or related account (e.g., same name, same address).

Sample Counterparty Data (Retail Customer)



Sarah Johnson

Checking Account: 1234567890

Date	Counterparty Name	Counterparty Type	Bank/Merchant Details	Location	Amount (USD)
Sep 15, 2026	Acme Corp	Employer (Direct Deposit)	Acme Corp	New York, NY	2,500.00
Sep 14, 2026	Amazon.com	Merchant (Online)	AMAZON.COM	Seattle, WA	45.32
Sep 13, 2026	John Smith	Individual (P2P Transfer)	Chase Bank	Chicago, IL	100.00
Sep 12, 2026	Con Edison	Bill Payment	Con Edison	New York, NY	120.00
Sep 10, 2026	Starbucks	Merchant (In-store)	STARBUCKS	Boston, MA	6.75

Channel & Location Information

Banks capture information about the channels customers use and the locations where transactions are initiated.



Banking Channels

Branch visits, ATM transactions, online banking, mobile app, phone banking, and mail.



Location Details

Branch address, ATM location, merchant location, and geographic data (city, state, country).



Device Information

Device type, device ID, IP address, and operating system (for digital channels).



Access Method

Login method, application used, and session details (e.g., web, mobile app).



Geographic Information

City, state, ZIP code, and country (based on branch, ATM, merchant, or IP address).

Sample Channel & Location Information (Retail Customer)



Sarah Johnson

Customer ID: 1234567890

Date & Time	Channel	Location / Details	Device / Access Info	Transaction Type
Sep 15, 2026 10:24 AM	 Branch	Chase Branch New York, NY	N/A	Cash Deposit
Sep 14, 2026 7:18 PM	 Online Banking	IP: 73.12.45.27 Chicago, IL	Windows Chrome	Funds Transfer
Sep 13, 2026 4:05 PM	 Mobile App	IP: 98.76.54.10 Dallas, TX	iPhone iOS 17	Bill Payment
Sep 12, 2026 2:30 PM	 ATM	Wells Fargo ATM Austin, TX	N/A	Cash Withdrawal
Sep 10, 2026 11:12 AM	 Card Purchase	Target Store Seattle, WA	Chip Card	Purchase

Customer Digital Activity Information

Banks capture digital activity data to support secure access, monitor usage, and detect unusual activity.



Device Information

Device type, operating system, browser, device ID, and mobile device details.



Access & Login Details

Login date and time, login method (web/mobile), IP address, and session information.



Digital Behavior

Features and services used (e.g., balance inquiry, funds transfer, bill payment, account settings).



Location Information

IP address, city, state, country, and device location (where available).



Security & Preferences

Authentication method (password, MFA), security settings, and digital communication preferences (e.g., eStatements, alerts).

Sample Digital Activity Information (Retail Customer)



Sarah Johnson

Customer ID: 1234567890

Date & Time	Channel	Activity	Device / Browser	IP Address / Location
Sep 15, 2026 8:15 AM	Mobile App	Login	iPhone (iOS 17)	98.76.54.10 Dallas, TX
Sep 14, 2026 7:32 PM	Online Banking	Funds Transfer	Windows / Chrome	73.12.45.27 Chicago, IL
Sep 13, 2026 11:05 AM	Mobile App	Check Balance	Android (Android 14)	24.198.12.44 Austin, TX
Sep 12, 2026 6:48 PM	Online Banking	Bill Payment	MacOS / Safari	104.28.66.21 New York, NY
Sep 10, 2026 9:10 AM	Mobile App	Profile Update	iPad (iPadOS 17)	98.76.54.10 Dallas, TX

How to Read a Transaction

Each transaction contains key details that help you understand what happened, when it happened, and who was involved.

**Date / Time**
When the transaction occurred.

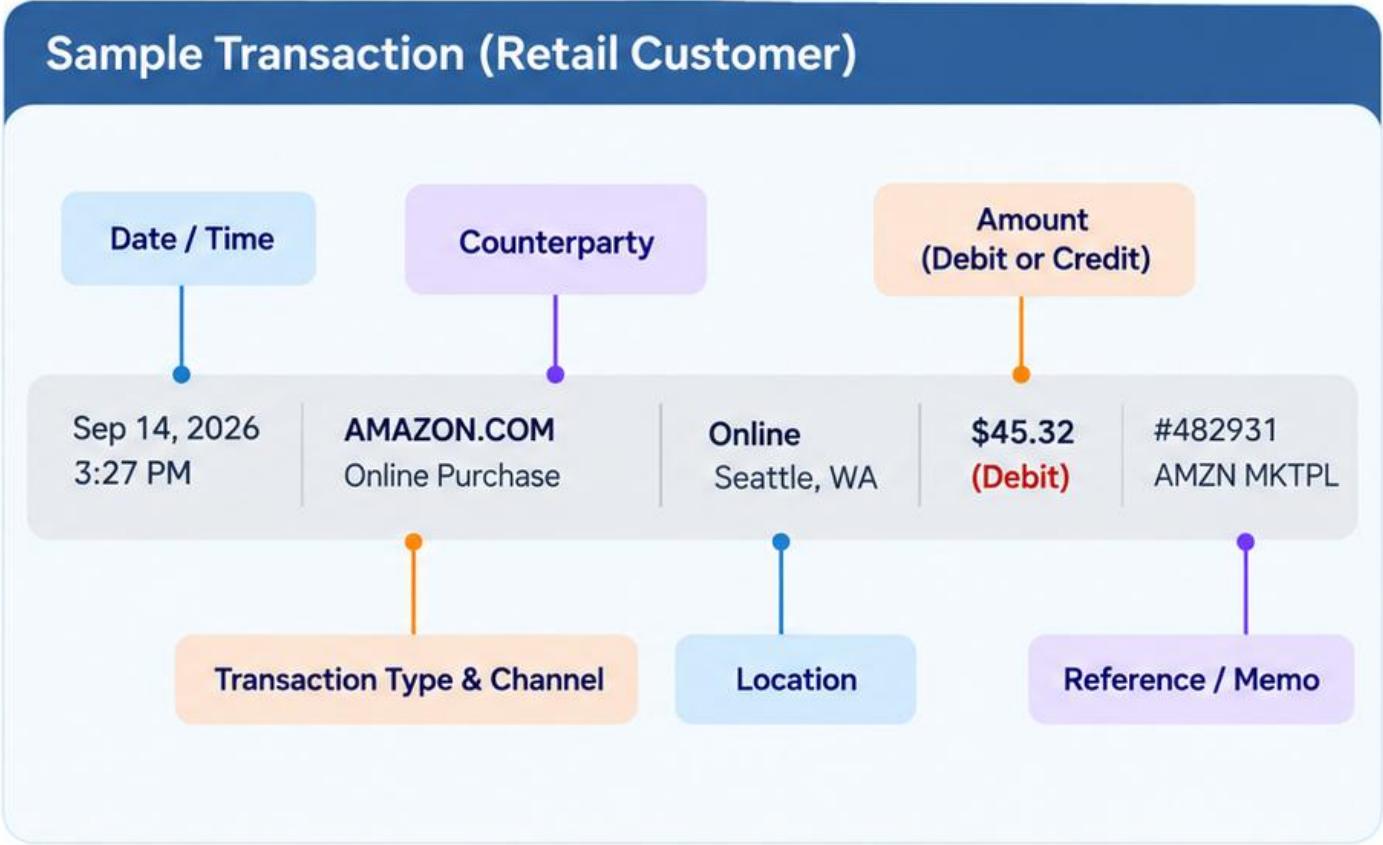
**Amount – Debit or Credit**
Dollar amount and whether money was out (debit) or in (credit).

**Transaction Type & Channel**
Type of transaction (e.g., purchase, transfer) and how it was made (e.g., ATM, online, card).

**Counterparty**
Name of the merchant, person, or account involved in the transaction.

**Location**
Where the transaction took place (e.g., city, state, country, or online).

**Reference / Memo**
Additional details such as reference number, description, or customer memo.



SECTION F

CASE STUDIES – TRANSACTION ANALYSIS

Putting knowledge into practice through real-world scenarios to identify red flags, assess risk and determine next steps.



Real-World
Scenarios



Identify
Red Flags



Analyze
Transactions



Determine
Next Steps



PEOPLE
DATA
SAFER
TOMORROW

KYC

TRANSACTIONS

RISK INDICATORS

COMPLIANCE

FINANCIAL
REVIEW

KYC → Transaction Analysis: Case Studies

Apply customer profile information to assess transactional activity and identify potential risks.



KNOW
ANALYSE
INVESTIGATE
PROTECT

CASE STUDY 1

Review the customer information and transaction activity below.



Customer Profile



Occupation

Junior Accountant



Annual Income

\$48,000



Expected Activity

\$3,000 – \$5,000/month



Customer Tenure

2 years



Observed Activity



\$18,500 received from
7 unrelated individuals
within 10 days



Funds were transferred out
within **24–48 hours**



No clear connection
between senders and
customer

What would you investigate?



KYC → Transaction Analysis: Case Studies

Apply customer profile information to assess transactional activity and identify potential risks.

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No clear connection
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customer



What would you investigate?

- 01 Purpose and source of the incoming funds?
- 02 Who are the senders and what is the relationship with the customer?
- 03 Why are the funds being transferred out so quickly?
- 04 Is the activity consistent with the customer's occupation, income and expected activity?
- 05 Are there any indicators of potential money mule activity, structuring or other financial crime risk?

KYC → Transaction Analysis: Case Studies

Apply customer profile information to assess transactional activity and identify potential risks.



KNOW
ANALYSE
INVESTIGATE
PROTECT

CASE STUDY 2

Review the customer information and transaction activity below.



Customer Profile



Occupation

Small Business Owner



Annual Income

\$95,000



Expected Activity

\$8,000 – \$12,000/month



Business

Local consulting services



Observed Activity



\$72,000 received through
multiple ACH credits
from different individuals



Funds moved the **same day**
to another personal account

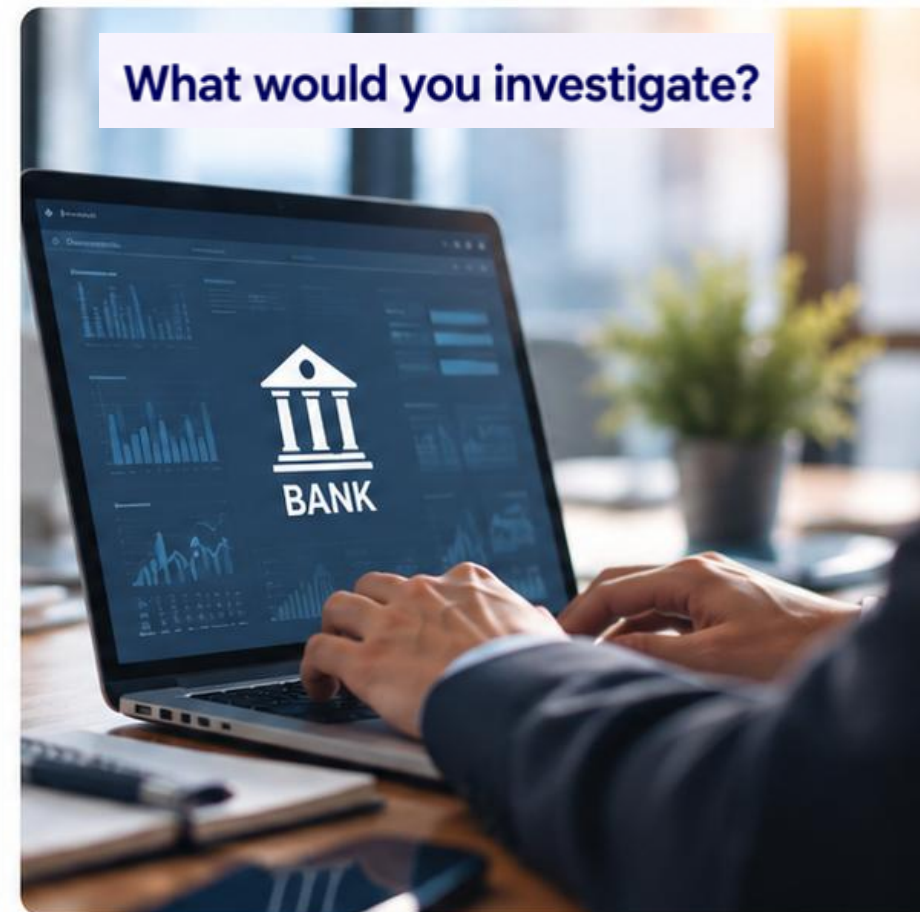


Several transactions were
followed by **cash withdrawals**



Activity increased significantly
over the **previous 60 days**

What would you investigate?



KYC → Transaction Analysis: Case Studies

Apply customer profile information to assess transactional activity and identify potential risks.



KNOW
ANALYSE
INVESTIGATE
PROTECT

CASE STUDY 2

Review the customer information and transaction activity below.



Customer Profile



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Observed Activity



\$72,000 received through
multiple ACH credits
from different individuals



Funds moved the **same day**
to another personal account



Several transactions were
followed by **cash withdrawals**



Activity increased significantly
over the **previous 60 days**



What would you investigate?

01

Economic purpose of the incoming payments.

02

Source of funds and relationship to counterparties.

03

Reason for transfers between personal accounts.

04

Cash withdrawal pattern and supporting documentation.

05

Whether activity represents legitimate business activity or potential layering.



This is the core skill of an FCC analyst: connecting who the customer is with what they actually do.